



General Assembly

Substitute Bill No. 271

February Session, 2026



AN ACT IMPLEMENTING THE RECOMMENDATIONS OF THE LABOR DEPARTMENT.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subsection (c) of section 31-235 of the general statutes is
2 repealed and the following is substituted in lieu thereof (*Effective October*
3 *1, 2026*):

4 (c) (1) Notwithstanding the provisions of subsection (a) or (b) of this
5 section, an unemployed individual may limit such individual's
6 availability for work to part-time employment, provided the individual
7 (A) provides documentation from a [licensed physician, physician
8 assistant or advanced practice registered nurse] health care provider
9 that (i) the individual has a physical or mental impairment that is
10 chronic or is expected to be long-term or permanent in nature, and (ii)
11 the individual is unable to work full-time because of such impairment,
12 and (B) establishes, to the satisfaction of the administrator, that such
13 limitation does not effectively remove such individual from the labor
14 force. For purposes of this subdivision, "health care provider" has the
15 same meaning as provided in subparagraph (A) of subdivision (16) of
16 subsection (a) of section 31-236, as amended by this act.

17 (2) In determining whether the individual has satisfied the
18 requirements of subparagraph (B) of subdivision (1) of this subsection,

19 the administrator shall consider the individual's work history, efforts to
20 find work, the hours such individual is medically permitted to work and
21 the individual's availability during such hours for work that is suitable
22 in light of the individual's impairment.

23 Sec. 2. Subparagraph (A) of subdivision (16) of subsection (a) of
24 section 31-236 of the general statutes is repealed and the following is
25 substituted in lieu thereof (*Effective October 1, 2026*):

26 (16) (A) For purposes of subparagraph (A)(ii) of subdivision (2) of this
27 subsection, "illness or disability" means an illness or disability
28 diagnosed by a health care provider that necessitates care for the ill or
29 disabled person for a period of time longer than the employer is willing
30 to grant leave, paid or otherwise, and "health care provider" means (i) a
31 doctor of medicine or osteopathy who is authorized to practice medicine
32 or surgery by the state in which the doctor practices; (ii) a podiatrist,
33 dentist, psychologist, optometrist or chiropractor authorized to practice
34 by the state in which such person practices and performs within the
35 scope of the authorized practice; (iii) an advanced practice registered
36 nurse, nurse practitioner, nurse midwife, [or] clinical social worker or
37 physician's assistant authorized to practice by the state in which such
38 person practices and performs within the scope of the authorized
39 practice; (iv) Christian Science practitioners listed with the First Church
40 of Christ, Scientist in Boston, Massachusetts; (v) any medical
41 practitioner from whom an employer or a group health plan's benefits
42 manager will accept certification of the existence of a serious health
43 condition to substantiate a claim for benefits; (vi) a medical practitioner,
44 in a practice enumerated in clauses (i) to (v), inclusive, of this
45 subparagraph, who practices in a country other than the United States,
46 who is licensed to practice in accordance with the laws and regulations
47 of that country; or (vii) such other health care provider as the Labor
48 Commissioner approves, performing within the scope of the authorized
49 practice.

50 Sec. 3. Section 31-266c of the general statutes is repealed and the
51 following is substituted in lieu thereof (*Effective October 1, 2026*):

52 (a) The administrator, upon the advice of the Attorney General, may
53 abate any contributions or payments in lieu of contributions due under
54 this chapter which have been found by the administrator to be
55 uncollectible.

56 (b) The administrator or the administrator's duly authorized agent
57 may make or entertain an offer of compromise for any contributions or
58 payments in lieu of contributions due under this chapter if such offer is
59 based upon doubt as to the employer's liability for the amount in
60 controversy or doubt as to the collectibility of such amount. For
61 purposes of this section, doubt as to the employer's liability for the
62 amount in controversy exists if there is a genuine dispute as to the
63 existence or amount of the employer's liability under this chapter, and
64 doubt as to the collectibility of such amount exists if the employer's
65 assets and income are less than the full amount of the employer's debts,
66 obligations and liabilities under state or federal law.

67 Sec. 4. Section 53-303e of the general statutes is repealed and the
68 following is substituted in lieu thereof (*Effective October 1, 2026*):

69 (a) No employer shall compel any employee engaged in any
70 commercial occupation or in the work of any industrial process to work
71 more than six days in any calendar week. An employee's refusal to work
72 more than six days in any calendar week shall not constitute grounds
73 for [his] such employee's dismissal.

74 (b) Any employee, who believes that [his] such employee's discharge
75 was in violation of subsection (a) of this section may [appeal such
76 discharge to the State Board of Mediation and Arbitration. If said board]
77 file a complaint with the Labor Commissioner. If the commissioner, or
78 the commissioner's designee, finds that the employee was discharged in
79 violation of [said] subsection (a) [, it] of this section, the commissioner,
80 or the commissioner's designee, may order whatever remedy will make
81 the employee whole, including, but not limited to, reinstatement to [his
82 former] such employee's former position or a comparable position. Any
83 party aggrieved by a decision of the commissioner, or the

84 commissioner's designee, may appeal the decision to the Superior Court
85 in accordance with the provisions of chapter 54.

86 [(c) Any person who violates any provision of this section shall be
87 fined not more than two hundred dollars.]

88 Sec. 5. Section 31-236f of the general statutes is repealed and the
89 following is substituted in lieu thereof (*Effective July 1, 2026*):

90 The administrator, as defined in section 31-232b, [in consultation with
91 the advisory board established pursuant to section 31-250a,] shall
92 develop and implement a procedure or program to insure that an
93 employee, at the time of termination by an employer, receives adequate
94 information regarding the availability of unemployment compensation
95 benefits under chapter 567 and the procedure required for making a
96 claim for such benefits.

97 Sec. 6. Section 31-264a of the general statutes is repealed and the
98 following is substituted in lieu thereof (*Effective July 1, 2026*):

99 (a) Unless the context requires a different meaning, the term "bonds"
100 or "revenue bonds" under this section and sections 3-21a, 31-222, 31-
101 225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act,
102 [31-250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j
103 includes notes issued in anticipation of the issuance of revenue bonds,
104 or notes issued pursuant to a commercial paper program.

105 (b) There is established a fund to be known as the Unemployment
106 Compensation Advance Fund. The fund shall be administered by the
107 State Treasurer as a trust fund, in accordance with the provisions of this
108 section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-
109 232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b,
110 as amended by this act, and 31-274j. The state treasurer may enter into
111 contracts that may be useful to the organization, establishment,
112 operation and administration of the fund under all applicable state and
113 federal laws and may contract with any person to provide whatever
114 services to the fund as, in the discretion of the State Treasurer, are

115 necessary for the proper operation and administration of the fund. All
116 costs of organizing, establishing and operating the fund, including the
117 costs of personnel and contractual services, shall be a charge upon and
118 paid by the State Treasurer from the fund. In addition, all costs of
119 establishing and administering the necessary procedures for billing,
120 payment and collection of the assessments authorized to be established
121 by the administrator pursuant to section 31-225a shall be a charge upon
122 and paid by the State Treasurer from the fund. All costs related to the
123 organization, establishment and operation of the fund and all costs
124 related to the establishment and administration of billing, payment and
125 collection procedures for moneys received from employers in payment
126 of assessments established in accordance with said section 31-225a, to
127 the extent not payable from the fund, may be paid from other moneys
128 of the state when made available for such purpose. There is established
129 within the fund an advance account, a debt service and reserve account
130 and an administration account, which accounts shall be held separate
131 and apart from each other. Additional accounts and subaccounts may
132 be established in the proceedings under which the revenue bonds are
133 authorized.

134 (c) There shall be deposited in the advance account: (1) The proceeds
135 of revenue bonds issued by the state for deposit into the account and
136 use in accordance with this section and sections 3-21a, 31-222, 31-225a,
137 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-
138 250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j; (2)
139 federal grants and awards or other federal assistance received by the
140 state for deposit into the account or for other purposes in accordance
141 with said sections; and (3) interest or other income earned on the
142 investment of moneys in the advance account pending transfer or use
143 pursuant to said sections.

144 (d) To the extent that amounts are available therefor in the advance
145 account, and on request of the administrator pursuant to subsection (h)
146 of this section, the State Treasurer shall apply the proceeds (1) to repay,
147 in accordance with the proceedings authorizing any revenue bonds
148 issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-

149 231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-
150 250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j, the
151 outstanding balance of all or any part of the advances made to the state
152 from the federal unemployment account under Title XII of the Social
153 Security Act, 42 USC Sections 1321 to 1324, inclusive, and any interest
154 due on the advances, and (2) to provide advances to the Unemployment
155 Compensation Benefit Fund.

156 (e) Within the debt service and reserve account there are established
157 the following subaccounts: (1) A reserve subaccount into which shall be
158 deposited the proceeds of revenue bonds issued by the state for deposit
159 into the reserve subaccount and use in accordance with this section and
160 sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-
161 236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as
162 amended by this act, and 31-274j; and (2) a debt service subaccount into
163 which shall be deposited, in accordance with the proceeding
164 authorizing the bonds, the proceeds of the initial issuance of revenue
165 bonds which are expected to be applied as capitalized interest to the
166 extent required, and payments received from or on behalf of any
167 employer in payment of assessments established in accordance with
168 said sections attributable to the debt service requirement. Moneys in
169 each subaccount created under this subsection may be applied by the
170 State Treasurer to debt service on revenue bonds. The Treasurer shall
171 apply amounts in the reserve subaccount to the payment of debt service
172 on bonds whenever amounts on deposit in the debt service subaccount
173 are insufficient. The net proceeds of any refunding bonds shall be
174 deposited in a special subaccount within the debt service and reserve
175 account and shall be applied solely to the retirement or redemption of
176 the bonds to be refunded.

177 (f) There shall be deposited in the administration account: (1) The
178 proceeds of revenue bonds expected to be deposited into the
179 administration account and use in accordance with this section and
180 sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-
181 236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as
182 amended by this act, and 31-274j; and (2) any additional money received

183 from employers in payment of assessments established in accordance
184 with said sections, to offset the costs and expenses of administering and
185 operating the fund. Amounts in the administration account may be
186 applied to offset the costs and expenses of establishing, administering
187 and operating the fund.

188 (g) The fund shall be maintained separate and apart from all other
189 moneys, funds and accounts of the state. Investment earnings credited
190 to the assets of the fund and to any account and subaccount within the
191 fund shall become part of the assets of the fund, account and
192 subaccount, except as otherwise required for rebates in order to assure
193 the excludability of the interest on the bonds from federal income
194 taxation, as provided in the proceedings authorizing any revenue
195 bonds. Any balance remaining in the fund at the end of any fiscal year
196 shall be carried forward in the fund, account and subaccount for the next
197 fiscal year.

198 (h) Upon the issuance of revenue bonds and to the extent there are
199 sufficient proceeds or other amounts in the advance account available
200 therefor, any advances to the Unemployment Compensation Benefit
201 Fund that the administrator deems necessary for the payment of
202 benefits under this chapter or to the Unemployment Compensation
203 Fund for the repayment of advances made to the state from the federal
204 unemployment account, including interest thereon, may be obtained
205 from the advance account of the Unemployment Compensation
206 Advance Fund. The State Treasurer shall, on request filed in writing by
207 the administrator, withdraw from the advance account of the
208 Unemployment Compensation Advance Fund and deposit in the
209 Unemployment Compensation Benefit Fund, amounts determined by
210 the administrator to be necessary for the payment of benefits under this
211 chapter without incurring federal interest charges, or deposit in the
212 Unemployment Compensation Fund amounts determined by the
213 administrator to be required for the repayment of advances made to the
214 state from the federal unemployment account, including interest
215 thereon. The State Treasurer shall, from time to time and at least
216 annually, determine the amount of interest, amortization, reserve and

217 associated costs required for each advance made from the advance
218 account under this subsection computed in accordance with the
219 requirements of the Unemployment Compensation Fund and the
220 proceedings under which the revenue bonds are authorized and such
221 amounts shall be assessed by the administrator as provided in
222 subdivision (2) of subsection (e) of section 31-225a. For purposes of this
223 subsection, "associated costs" includes all costs related to the efficient
224 establishment, operation and administration of the Unemployment
225 Compensation Advance Fund pursuant to subsection (b) of this section,
226 and the proceedings under which the bonds are issued pursuant to this
227 section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-
228 232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b,
229 as amended by this act, and 31-274j and the costs of establishing and
230 administering the billing, payment and collection procedures referred
231 to in subsection (b) of this section.

232 (i) The moneys in the advance account may also be used to pay any
233 costs related to the issuance of revenue bonds issued pursuant to section
234 31-264b, as amended by this act, and to pay any debt service thereon for
235 which amounts on deposit in the debt service and reserve account
236 maintained pursuant to this section are insufficient.

237 (j) Notwithstanding any provision of this section and sections 3-21a,
238 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended
239 by this act, [31-250a,] 31-259, 31-263, 31-264b, as amended by this act,
240 and 31-274j to the contrary, any money received from the
241 Unemployment Compensation Fund may not be used for any purpose
242 inconsistent with federal law, and any federal grants, awards, advances
243 or other federal assistance referred to herein may not be used for any
244 purpose other than that for which such amounts were granted,
245 awarded, advanced, or otherwise appropriated, respectively.

246 Sec. 7. Section 31-264b of the general statutes is repealed and the
247 following is substituted in lieu thereof (*Effective July 1, 2026*):

248 (a) The State Bond Commission may authorize the issuance of

249 revenue bonds of the state in one or more series and in principal
250 amounts necessary or estimated to be necessary as an advance to the
251 Unemployment Compensation Fund, or to repay advances made to the
252 state from the federal unemployment account, but not in excess of one
253 billion dollars outstanding at any one time and such additional amount
254 of bonds required to fund any debt service and reserve account in
255 accordance with the proceedings authorizing the bonds and the costs of
256 issuance, capitalized interest, if any, and the initial costs and expenses
257 of the administration account, provided in computing the total amount
258 of bonds which may at any one time be outstanding, the principal
259 amount of any refunding bonds issued to refund bonds shall be
260 excluded. The legislature finds that it is an essential governmental
261 function to assure that the balance in the state's account in the federal
262 Unemployment Trust Fund is maintained at a level which is sufficient
263 to pay all benefits and further finds that the financing and payment of
264 the outstanding principal amount which has been advanced to the state
265 from the federal account of the Unemployment Trust Fund and the
266 financing and funding of the state's account in the Unemployment Trust
267 Fund by the issuance of revenue bonds pursuant to this section and
268 sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-
269 236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as
270 amended by this act, and 31-274j is in the public interest, will
271 substantially result in savings of interest costs, will achieve a public
272 purpose of reducing overall costs of providing employment benefits
273 and will thereby foster and promote economic growth, provide
274 employment opportunities for the residents of the state and assist
275 companies by reducing their overall costs of doing business in the state.

276 (b) Bonds issued pursuant to subsection (a) of this section shall be
277 special obligations of the state and shall not be payable from nor
278 charged upon any funds other than the Unemployment Compensation
279 Advance Fund and revenues pledged to the payment thereof, nor shall
280 the state or any political subdivision thereof be subject to any liability
281 thereon other than from such sources. The issuance of revenue bonds
282 under the provisions of this section and sections 3-21a, 31-222, 31-225a,

283 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-
284 250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j shall
285 not directly or indirectly or contingently obligate the state or any
286 political subdivision thereof to levy or to pledge any form of taxation
287 whatever therefor or to make any appropriation for their payment other
288 than the appropriation set forth in this section. The bonds shall not
289 constitute a charge, lien or encumbrance, legal or equitable, upon any
290 property of the state or of any political subdivision thereof, except the
291 Unemployment Compensation Advance Fund and revenues pledged or
292 otherwise encumbered under the provisions and for the purpose of said
293 sections. The substance of this limitation shall be plainly stated on the
294 face of each bond. Revenue bonds issued pursuant to said sections shall
295 not be subject to any statutory limitation on the indebtedness of the state
296 and the bonds, when issued, shall not be included in computing the
297 aggregate indebtedness of the state in respect to, and to the extent of,
298 any such limitation. As part of the contract of the state with the owners
299 of the revenue bonds, all amounts necessary for the punctual payment
300 of the debt service requirements with respect to the revenue bonds shall
301 be deemed appropriated, but only from the sources pledged pursuant
302 to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-
303 232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263,
304 31-264a, as amended by this act, and 31-274j.

305 (c) The revenue bonds referred to in subsection (a) of this section may
306 be executed and delivered at the time or times, shall be dated, shall bear
307 interest at the rate or rates, shall mature at the time or times not
308 exceeding ten years from their date, have the rank or priority, be payable
309 in the medium of payment, be issued in coupon or in registered form,
310 or both, carry the registration and transfer privileges and be made
311 redeemable before maturity at the price or prices and under the terms
312 and conditions, all as may be provided by the State Bond Commission.
313 With the exception of subsections (i) and (p) all provisions of section 3-
314 20 and the exercise of any right or power granted thereby which are not
315 inconsistent with the provisions of this section and sections 3-21a, 31-
316 222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by

317 this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and
318 31-274j are hereby adopted and may be invoked in respect to all revenue
319 bonds authorized by the State Bond Commission pursuant to said
320 sections. For the purposes of subsection (o) of said section 3-20, "bond
321 act" includes said sections. None of the revenue bonds shall be
322 authorized, except upon a finding by the State Bond Commission that
323 there has been filed with it a request for authorization, which is signed
324 by or on behalf of the State Treasurer and states the terms and conditions
325 as said commission, in its discretion, may require.

326 (d) The principal of and interest on any bonds issued pursuant to this
327 section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-
328 232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a,
329 as amended by this act, and 31-274j shall be secured by a pledge of the
330 Unemployment Compensation Advance Fund and any revenues,
331 receipts, funds or moneys payable to the fund, including any federal
332 grants or advances available for the fund and including the amounts of
333 payment received from assessments established pursuant to said
334 sections, all as set forth in the proceedings authorizing the bonds
335 pursuant to said sections. Any pledge made by the state pursuant to said
336 sections is a pledge within the meaning and for all purposes of title 42a
337 and shall be valid and binding from the time when the pledge is made.
338 Any revenues or other receipts, funds or moneys so pledged and
339 thereafter received by the state shall be subject immediately to the lien
340 of the pledge without any physical delivery thereof or further act. The
341 lien of any pledge shall be valid and binding as against all parties having
342 claims of any kind in tort, contract or otherwise against the state,
343 irrespective of whether the parties have notice of the claims. Neither this
344 section nor sections 3-21a, 31-222, 31-225, 31-231a, 31-232b, 31-232d, 31-
345 232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a,
346 as amended by this act, and 31-274j, the resolution nor any other
347 instrument by which a pledge is created need be recorded.

348 (e) Revenue bonds issued pursuant to this section and sections 3-21a,
349 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended
350 by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act,

351 and 31-274j are hereby made securities in which public officers and
352 public bodies of the state and its political subdivisions, all insurance
353 companies, credit unions, savings and loan associations, investment
354 companies, banking associations, trust companies, executors,
355 administrators, trustees and other fiduciaries and pension, profit-
356 sharing and retirement funds may properly and legally invest funds,
357 including capital in their control or belonging to them. The bonds are
358 hereby made securities which may properly and legally be deposited
359 with and received by any state or municipal officer or any agency or
360 political subdivision of the state for any purpose for which the deposit
361 of bonds or other obligations of the state is now or may hereafter be
362 authorized by law.

363 (f) The proceedings under which bonds are authorized to be issued
364 may contain any or all of the following: (1) Provisions respecting
365 custody of the proceeds from the sale of the bonds, including any
366 requirement that the proceeds be deposited in the Unemployment
367 Compensation Advance Fund and held separate from, or not be
368 commingled with, other funds of the state; (2) provisions for the
369 investment and reinvestment of bond proceeds and after the disposition
370 of any excess bond proceeds or investment earnings thereon; (3)
371 provisions for the execution of reimbursement agreements or similar
372 agreements in connection with credit facilities, including, but not
373 necessarily limited to, letters of credit or policies of bond insurance,
374 remarketing agreements and agreements for the purpose of moderating
375 interest rate fluctuations, and of such other agreements entered into
376 pursuant to section 3-20a; (4) provisions for the collection, custody,
377 investment, reinvestment and use of the pledged revenues or other
378 receipts, funds or moneys pledged therefor as provided in this section
379 and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f,
380 31-236, [31-250a,] 31-259, 31-263, 31-264a and 31-274j; (5) provisions
381 regarding the establishment and maintenance of reserves, sinking funds
382 and any other funds and accounts of the Unemployment Compensation
383 Advance Fund pursuant to said sections and in the amounts and on the
384 terms approved by the State Bond Commission in the amounts

385 established by the State Bond Commission; (6) covenants for the
386 establishment of pledged revenue coverage requirements for the bonds;
387 (7) provisions for the issuance of additional bonds on a parity with
388 bonds theretofore issued, including establishment of coverage
389 requirements with respect thereto as herein provided; (8) provisions
390 regarding the rights and remedies available in case of a default to
391 bondowners, noteowners or any trustee under any contract, loan
392 agreement, document, instrument or trust indenture, including the right
393 to appoint a trustee to represent their interests upon occurrence of an
394 event of default, as defined in said proceedings, provided if any revenue
395 bonds are secured by a trust indenture, the respective owners of the
396 bonds shall have no authority, except as set forth in the trust indenture,
397 to appoint a separate trustee to represent them; (9) provisions for the
398 payment of rebate amounts; and (10) provisions of covenants of like or
399 different character from the foregoing which are consistent with this
400 section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-
401 232f, 31-236, [31-250a,] 31-259, 31-263, 31-264a and 31-274j, and which
402 the State Bond Commission determines in such proceedings are
403 necessary, convenient or desirable in order to better secure the revenue
404 bonds, or will tend to make the revenue bonds more marketable, and
405 which are in the best interests of the state. Any provision which may be
406 included in proceedings authorizing the issuance of bonds hereunder
407 may be included in an indenture of trust duly approved in accordance
408 with said sections, which secures the revenue bonds issued in
409 anticipation thereof, and in such case the provision of the indenture
410 shall be deemed to be a part of the proceedings as though they were
411 expressly included therein.

412 (g) Whether or not any revenue bonds issued pursuant to this section
413 and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f,
414 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as
415 amended by this act, and 31-274j are of the form and character to qualify
416 as negotiable instruments under the terms of title 42a, the bonds are
417 hereby made negotiable instruments within the meaning of and for all
418 purposes of title 42a, subject only to the provisions of the bonds.

419 (h) The state covenants with the purchasers and all subsequent
420 owners and transferees of revenue bonds issued by the state pursuant
421 to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-
422 232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263,
423 31-264a, as amended by this act, and 31-274j, in consideration of the
424 acceptance of and payment for the bonds, that the bonds shall be free at
425 all times from taxes levied by any municipality or political subdivision
426 or special district having taxing powers of the state, and the principal
427 and interest of any bonds issued under the provisions of said sections,
428 their transfer and the income therefrom, including any profit on the sale
429 or transfer thereof, shall at all times be exempt from any taxation by the
430 state of Connecticut or under its authority, except for estate or
431 succession taxes. The State Treasurer is authorized to include this
432 covenant of the state in any agreement with the owner of any bonds and
433 in any credit facility or reimbursement agreement with respect to the
434 bonds.

435 (i) The state further covenants with the purchasers and all subsequent
436 owners and transferees of bonds issued by the state pursuant to this
437 section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-
438 232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a,
439 as amended by this act, and 31-274j, in consideration of the acceptance
440 of the payment of the bonds, until the bonds, together with the interest
441 thereon, with interest on any unpaid installment of interest and all costs
442 and expenses in connection with any action or proceeding on behalf of
443 the owners, are fully met and discharged or unless expressly permitted
444 or otherwise authorized by the terms of each contract and agreement
445 made or entered into by or on behalf of the state with or for the benefit
446 of such owners, that the state will cause the administrator to impose,
447 charge, raise, levy, collect and apply the pledged assessments and other
448 revenues, receipts, funds or moneys pledged for the payment of debt
449 service requirements in each year in which bonds are outstanding and
450 further, that the state (1) will not limit or alter the duties imposed on the
451 administrator, the State Treasurer and other officers of the state by the
452 proceedings authorizing the issuance of bonds with respect to

453 application of pledged assessments or other revenues, receipts, funds or
454 moneys pledged for the payment of debt service requirements; (2) will
455 not issue any bonds, notes or other evidences of indebtedness, other
456 than the bonds, having any rights arising out of said sections or secured
457 by any pledge of or other lien or charge on the pledged revenues or other
458 receipts, funds or moneys pledged for the payment of debt service
459 requirements; (3) will not create or cause to be created any lien or charge
460 on the pledged amounts, other than a lien or pledge created thereon
461 pursuant to said sections, provided nothing in this subsection shall
462 prevent the state from issuing evidences of indebtedness (A) which are
463 secured by a pledge or lien which is, and shall on the face thereof, be
464 expressly subordinate and junior in all respects to every lien and pledge
465 created by or pursuant to said sections; or (B) which are secured by a
466 pledge of or lien on moneys or funds derived on or after the date every
467 pledge or lien thereon created by or pursuant to said sections shall be
468 discharged and satisfied; (4) will carry out and perform, or cause to be
469 carried out and performed, each and every promise, covenant,
470 agreement or contract made or entered into by the state or on its behalf
471 with the owners of any bonds; (5) will not in any way impair the rights,
472 exemptions or remedies of the owners; and (6) will not limit, modify,
473 rescind, repeal or otherwise alter the rights or obligations of the
474 appropriate officers of the state to impose, maintain, charge or collect
475 the assessments and other revenues or receipts constituting the pledged
476 revenues as may be necessary to produce sufficient revenues to fulfill
477 the terms of the proceedings authorizing the issuance of the bonds,
478 including pledged revenue coverage requirements, and provided
479 nothing herein shall preclude the state from exercising its power,
480 through a change in law, to limit, modify, rescind, repeal or otherwise
481 alter the character of the pledged assessments or revenues or to
482 substitute like or different sources of assessments, taxes, fees, charges or
483 other receipts as pledged revenues if and when adequate provision shall
484 be made by law for the protection of the holders of outstanding bonds
485 pursuant to the proceedings under which the bonds are issued,
486 including changing or altering the method of establishing the
487 assessments as provided in subparagraph (B) of subdivision (2) of

488 subsection (e) of section 31-225a. The State Bond Commission is
489 authorized to include this covenant of the state, as a contract of the state,
490 in any agreement with the owner of any bonds and in any credit facility
491 or reimbursement agreement with respect to the bonds.

492 (j) Pending the use and application of any bond proceeds, the
493 proceeds may be invested by, or at the direction of, the State Treasurer
494 in obligations listed in section 3-20.

495 (k) Any revenue bonds issued under the provisions of this section
496 and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f,
497 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as
498 amended by this act, and 31-274j and at any time outstanding may, at
499 any time and from time to time, be refunded by the state by the issuance
500 of its revenue refunding bonds in whatever amounts the State Bond
501 Commission may deem necessary, but not to exceed an amount
502 sufficient to refund the principal of the revenue bonds to be so refunded,
503 to pay any unpaid interest thereon and any premiums and commissions
504 necessary to be paid in connection therewith and to pay costs and
505 expenses which the State Treasurer may deem necessary or
506 advantageous in connection with the authorization, sale and issuance of
507 refund bonds. Any such refunding may be effected whether the revenue
508 bonds to be refunded shall have matured or shall thereafter mature. All
509 revenue refunding bonds issued hereunder shall be payable solely from
510 the Unemployment Compensation Advance Fund and revenues or
511 other receipts, funds or moneys out of which the revenue bonds to be
512 refunded thereby are payable and shall be subject to and may be secured
513 in accordance with the provisions of this section.

514 (l) The State Treasurer shall have power, out of any funds available
515 therefor, to purchase revenue bonds issued pursuant to this section and
516 sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-
517 236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as
518 amended by this act, and 31-274j. The State Treasurer may hold, pledge,
519 cancel or resell the bonds, subject to and in accordance with agreements
520 with bondholders.

521 Sec. 8. Section 31-250a of the general statutes is repealed. (*Effective*
522 *October 1, 2026*)

This act shall take effect as follows and shall amend the following sections:		
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Section 1	<i>October 1, 2026</i>	31-235(c)
Sec. 2	<i>October 1, 2026</i>	31-236(a)(16)(A)
Sec. 3	<i>October 1, 2026</i>	31-266c
Sec. 4	<i>October 1, 2026</i>	53-303e
Sec. 5	<i>July 1, 2026</i>	31-236f
Sec. 6	<i>July 1, 2026</i>	31-264a
Sec. 7	<i>July 1, 2026</i>	31-264b
Sec. 8	<i>October 1, 2026</i>	Repealer section

LAB *Joint Favorable Subst.*

JUD *Joint Favorable*